AEROSPACE RESEARCH AND INNOVATION CENTER ("ARIC")

Report and financial statements for the year ended 31 December 2021

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Report and financial statements
for the year ended 31 December 2021

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INDEPENDENT AUDITOR'S REPORT TO THE SENIOR MANAGEMENT BOARD OF AEROSPACE RESEARCH AND INNOVATION CENTER ("ARIC")

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinion

We have audited the financial statements of **Aerospace Research and Innovation Center ("ARIC")** (the "Center"), which comprise the statement of financial position as at 31 December 2021, and the statement of profit or loss and other comprehensive income, the statement of changes in net assets attributable to Center and statement of cash flows for the year ended 31 December 2021, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Fund as at 31 December 2021, and its financial performance for the year ended 31 December 2021 in accordance International Financial Reporting Standards ("IFRSs").

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Center in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants ("IESBA Code") together with the other ethical requirements that are relevant to our audit of the Center's financial statements in the United Arab Emirates, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other Matter

- The financial statements are prepared to assist management with the reporting requirements of the Center. As a result our report may not be suitable for any other purpose. Our report is intended solely for management and should not be distributed to or used by any other parties other than management.

- The financial statements of the Center for the year ended 31 December 2020 were audited by another auditor who expressed an unmodified opinion on those statements on 11 November 2021.

Akbar Ahmad (1141), Cynthia Corby (995), Georges Najem (809), Mohammad Jallad (1164), Mohammad Khamees Al Tah (717), Musa Ramahi (872), Mutasem M. Dajani (726), Obada Alkowatly (1056), Rama Padmanabha Acharya (701) and Samir Madbak (386) are registered practicing auditors with the UAE Ministry of Economy.

Deloitte.

INDEPENDENT AUDITOR'S REPORT TO THE SENIOR MANAGEMENT BOARD OF AEROSPACE RESEARCH AND INNOVATION CENTER ("ARIC") (continued)

Responsibilities of Management and Those Charged with Governance for the financial statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRSs and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Center's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Center or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Center's financial reporting process.

Auditor's Responsibilities for the Audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISA's, we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risk, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than the one resulting from error, as fraud may involve collusion, forgery, intentional omission, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

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INDEPENDENT AUDITOR'S REPORT TO THE SENIOR MANAGEMENT BOARD OF AEROSPACE RESEARCH AND INNOVATION CENTER ("ARIC") (continued)

Auditor's Responsibilities for the Audit of the financial statements (continued)

- Conclude on the appropriateness of management's use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Center's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Center to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Deloitte & Touche (M.E.)

Mohammad Khamees Al Tah
Registration No. 717
16 November 2022
Abu Dhabi
United Arab Emirates

Statement of financial position
as at 31 December 2021

	Notes	2021 AED	2020 AED
ASSETS			
Non-current assets			
Equipment	5	6,018,566	7,141,827
Intangible assets	6	-	58,703
Total non-current assets		6,018,566	7,200,530
Current assets			
Other receivables	7	589,469	553,810
Cash and bank balances	8	1,199,889	2,700,696
Total current assets		1,789,358	3,254,506
Total assets		7,807,924	10,455,036
LIABILITIES			
Non-current liabilities			
Provision for employees' end of service benefits	10	109,472	166,556
Current liabilities			
Other payables	11	192,371	207,076
Due to related parties	9	408,333	516,628
Total current liabilities		600,704	723,704
Total liabilities		710,176	890,260
Net assets attributable to center	12	7,097,748	9,564,776

These financial statements were authorized and approved for issuance on and signed by: 16 NOV 2022

Trustee

Trustee

Ebrahim Jafar Alahmed
Vice President – Finance and Budget

Dr. Steve Griffiths
Chair of SMB

The accompanying notes form an integral part of these financial statements.

Statement of profit or loss and other comprehensive income for the year ended 31 December 2021

	Notes	2021 AED	2020 AED
Contributions			
Contributions recognised as revenue	12	3,419,409	4,034,540
Total contributions		3,419,409	4,034,540
Expenses			
General and administrative expenses	13	2,173,425	2,505,782
Depreciation expense	5	1,187,281	1,444,653
Amortisation expense	6	58,703	84,105
Total expenses		3,419,409	4,034,540
Profit for the year		-	-
Other comprehensive income for the year		-	-
Total comprehensive income for the year		-	-

The accompanying notes form an integral part of these financial statements.

Statement of changes in net assets attributable to center for the year ended 31 December 2021

	Note	2021 AED	2020 AED
As at 1 January	12	**9,564,776**	10,246,935
Contributions received during the year	12	**952,381**	3,352,381
Grant recognized as revenue in the statement of profit or loss and other comprehensive income	12	**(3,419,409)**	(4,034,540)
As at 31 December		**7,097,748**	9,564,776

The accompanying notes form an integral part of these financial statements.

Statement of cash flows
for the year ended 31 December 2021

	Notes	2021 AED	2020 AED
Cash flows from operating activities			
Profit for the year		-	-
Adjustments for:			
Depreciation expense	5	1,187,281	1,444,653
Amortisation expense	6	58,703	84,105
Provision for employees' end of service benefit	10	63,996	25,552
Operating contribution recognized as revenue	12	(2,173,425)	(2,505,782)
Capital contribution recognized as revenue	12	(1,245,984)	(1,528,758)
Operating cash flows before movements in operating assets and liabilities		(2,109,429)	(2,480,230)
Changes in working capital:			
(Increase)/decrease in other receivables		(35,659)	11,392
Decrease in other payables		(14,705)	(18,678)
Decrease in due to related parties		(108,295)	(77,661)
Net cash flows used in operating activities		(2,268,088)	(2,565,177)
Employees' end of service benefits paid	10	(121,080)	-
Net cash used in operating activities		(2,389,168)	(2,565,177)
Cash flows from investing activity			
Payment of purchase of equipment	5	(64,020)	(105,217)
Net cash flows used investing activity		(64,020)	(105,217)
Cash flows from financing activity			
Contributions received	12	952,381	3,352,381
Net cash flows used financing activity		952,381	3,352,381
Net (decrease)/increase in cash and cash equivalents		(1,500,807)	681,987
Cash and cash equivalents at the beginning of the year	8	2,700,696	2,018,709
Cash and cash equivalents at the end of the year	8	1,199,889	2,700,696

The accompanying notes form an integral part of these financial statements.

Notes to the financial statements
for the year ended 31 December 2021

1 General information

Aerospace Research and Innovation Center ("ARIC" or the "Center") is a collaboration between Aerospace Holding Company LLC ("AHC") and Khalifa University of Science and Technology ("KUST"). The Center was initiated on the basis of a collaboration agreement between AHC and KUST dated 28 November 2013 (date of "inception").

The Center is intended to become an enabler for innovation in UAE through investment in people by creating one of the largest aerospace research and innovation Centers in the region through partnership between AHC and KUST.

The Center is not a separate legal entity and operates from the location and registered address of the University at P.O. Box 127788, Abu Dhabi, United Arab Emirates.

2 Adoption of new and revised Standards

2.1 New and revised IFRSs applied with no material effect on the financial statements

In the current period, the Center has applied the following amendments to IFRSs issued by the International Accounting Standards Board ("IASB") that are mandatorily effective for an accounting period that begins on or after 1 January 2021. The application of these amendments to IFRSs has not had any material impact on the amounts reported for the current period but may affect the accounting for the Center's future transactions or arrangements.

Interest Rate Benchmark Reform - Phase 2 Amendments to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16 (IBOR reform Phase 2)

In September 2020, the IASB issued Interest Rate Benchmark Reform (amendments to IFRS 9, IAS 39 and IFRS 7). These amendments modify specific hedge accounting requirements to allow hedge accounting to continue for affected hedges during the period of uncertainty before the hedged items or hedging instruments affected by the current interest rate benchmarks are amended as a result of the on-going interest rate benchmark reforms.

In the current year, the ISAB issued the Phase 2 amendments Interest Rate Benchmark Reform (amendments to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16). Adopting these amendments enables the Group to reflect the effects of transitioning from interbank offered rates (IBOR) to alternative benchmark interest rates (also referred to as 'risk free rates' or RFRs) without giving rise to accounting impacts that would not provide useful information to users of financial statements. The entities can apply the amendments retrospectively with any adjustments recognising in the appropriate components of equity as at 1 January 2021, instead of restating the prior period.

Both the Phase 1 and Phase 2 amendments are not relevant to the Center given that they have not applied hedge accounting to its benchmark interest rate exposures and therefore do not have any impact on the Center's financial statements.

Notes to the financial statements
for the year ended 31 December 2021 (continued)

2 Adoption of new and revised Standards (continued)

2.1 New and revised IFRSs applied with no material effect on the financial statements (continued)

Amendments to IFRS 16 *Leases* relating to Covid-19-Related Rent Concessions

In May 2021, the IASB issued Covid-19-Related Rent Concessions (amendment to IFRS 16) that provides practical relief to lessees in accounting for rent concessions occurring as a direct consequence of Covid-19, by introducing a practical expedient to IFRS 16. This practical expedient was available to rent concessions for which any reduction in lease payments affected payments originally due on or before 30 June 2021.

In March 2021, the Board issued Covid-19-Related Rent Concessions beyond 30 June 2021 (Amendment to IFRS 16) that extends the practical expedient to apply to reduction in lease payments originally due on or before 30 June 2022.

The practical expedient permits a lessee to elect not to assess whether a Covid-19-related rent concession is a lease modification. A lessee that makes this election shall account for any change in lease payments resulting from the Covid-19 related rent concession applying IFRS 16 as if the change were not a lease modification.

The practical expedient applies only to rent concessions occurring as a direct consequence of COVID-19 and only if all of the following conditions are met:

- The change in lease payments results in revised consideration for the lease that is substantially the same as, or less than, the consideration for the lease immediately preceding the change;
- Any reduction in lease payments affects only payments originally due on or before 30 June 2021 (a rent concession meets this condition if it results in reduced lease payments on or before 30 June 2021 and increased lease payments that extend beyond 30 June 2021); and
- There is no substantive change to other terms and conditions of the lease.

The amendments are not relevant to the Center given that there are no rent concessions occurred as a direct consequence of COVID-19 and therefore do not have any impact on the Center's financial statements

2 Adoption of new and revised Standards (continued)

2.2 New and revised IFRSs in issue but not yet effective and not early adopted

The Center has not yet applied the following new and revised IFRSs that have been issued but are not yet effective:

New and revised IFRSs	Effective for annual periods beginning on or after
Amendments to IAS 16, *Property, Plant and Equipment* on proceeds before intended use	1 January 2022
Amendments to IAS 37 *Provisions, Contingent Liabilities and Contingent Assets* on Onerous Contracts - Cost of Fulfilling a Contract	1 January 2022
Reference to the Conceptual Framework (Amendments to IFRS 3)	1 January 2022
Annual Improvements to IFRSs 2018-2020 - Amendments to *IFRS 1 First-time Adoption of International Financial Reporting Standards, IFRS 9 Financial Instruments, IFRS 16 Leases,* and *IAS 41 Agriculture*	1 January 2022
Amendments to IAS 1 *Presentation of Financial Statements*: on classification of liabilities as current or non-current	1 January 2023
IFRS 17 *Insurance Contracts*	1 January 2023
IFRS 17 requires insurance liabilities to be measured at a current fulfilment value and provides a more uniform measurement and presentation approach for all insurance contracts. These requirements are designed to achieve the goal of a consistent, principle-based accounting for insurance contracts. IFRS 17 supersedes IFRS 4 *Insurance Contracts* as at 1 January 2023.	
Amendments to IAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors* on definition of accounting estimates	1 January 2023
Amendments to IAS 1 *Presentation of Financial Statements* and IFRS Practice Statement 2 on disclosure of accounting policies	1 January 2023
Amendments to IAS 12 *Income Taxes* on deferred tax related to assets and liabilities arising from a Single Transaction	1 January 2023
Amendments to IFRS 10 *Consolidated Financial Statements* and IAS 28 *Investments in Associates and Joint Ventures. (2011)* relating to the treatment of the sale or contribution of assets from and investor to its associate or joint venture.	Effective date deferred indefinitely. Adoption is still permitted.

Management anticipates that these new standards, interpretations and amendments will be adopted in the Center's financial statements as and when they are applicable and adoption of these new standards, interpretations and amendments, may have no material impact on the financial statements of the Center in the period of initial application.

Notes to the financial statements
for the year ended 31 December 2021 (continued)

3 Summary of significant accounting policies

3.1 Statement of compliance

The financial statements have been prepared in accordance with the International Financial Reporting Standards (IFRS).

3.2 Basis of preparation and restriction on use

The financial statements of the Center have been prepared in accordance with International Financial Reporting Standards ("IFRS") and IFRIC interpretations. They have been prepared under the historical cost convention.

The Center is a collaboration between Aerospace Holding Company LLC ("AHC") and Khalifa University of Science and Technology ("KUST"). The Center was initiated on the basis of a collaboration agreement between AHC and KUST dated 28 November 2013 (date of "inception"). The Center is not a separate legal entity.

The significant accounting policies are set out below:

3.3 Impairment of non-financial assets

Assets that are subject to depreciation or amortisation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units). Non-financial assets that suffered impairment are reviewed for possible reversal of the impairment at each reporting date.

3.4 Cash and cash equivalents

Cash and cash equivalents comprise cash on hand and deposits held at call with banks with original maturities of three months or less.

3.5 Provisions

Provisions are recognised when the Center has a present obligation as a result of a past event and it is probable that the Center will be required to settle that obligation and a reliable estimate can be made of the amount of the obligation.

3.6 Foreign currency translation

(a) Functional and presentation currency

Items included in the financial statements are measured using the currency of the primary economic environment in which the Center operates ("the functional currency").

The financial statements are presented in UAE Dirhams, which is the Center's functional and presentation currency.

Notes to the financial statements
for the year ended 31 December 2021 (continued)

3 Summary of significant accounting policies (continued)

3.6 Foreign currency translation (continued)

b) Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions or valuation where items are re-measured. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the statement of comprehensive income.

3.7 Financial instruments

a) Classification

The Center classifies its financial assets in the following measurement categories:

- those to be measured subsequently at fair value (either through Other Comprehensive Income (OCI), or through profit or loss); and
- those to be measured at amortised cost.

The classification depends on the Center's business model for managing the financial assets that whether the financial asset is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows and the contractual terms of the cash flows that whether contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. Management determines the classification of its investment at initial recognition.

b) Recognition and derecognition

Regular purchases and sales of financial assets are recognised on trade-date, the date on which the Center commits to purchase or sell the asset. Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or have been transferred and the Center has transferred substantially all the risks and rewards of ownership.

c) Measurement

At initial recognition, the Center measures a financial asset at its fair value plus, in the case of a financial asset not at Fair Value through Profit or Loss (FVPL), transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at FVPL are expensed in profit or loss. Subsequent measurement of debt instruments depends on the Center's business model for managing the asset and the cash flow characteristics of the asset. There are two measurement categories into which the Center classifies its debt instruments:

) Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. Interest income from these financial assets is included in finance income using the effective interest rate method.

Any gain or loss arising on derecognition is recognised directly in profit or loss and presented in other gains/(losses) together with foreign exchange gains and losses. Impairment losses are presented as separate line item in the consolidated statement of comprehensive income.

Notes to the financial statements
or the year ended 31 December 2021 (continued)

Summary of significant accounting policies (continued)

.7 Financial instruments (continued)

c) Measurement (continued)

) Financial assets at Fair Value through Other Comprehensive Income (FVOCI) are carried at fair value. After initial measurement, the Center present fair value gains and losses on equity investments in OCI, there is no subsequent reclassification of fair value gains and losses to the statement of comprehensive income following the derecognition of the investment. Dividends from such investments continue to be recognised in profit or loss as other income when the Center's right to receive payments is established.

d) Impairment of financial assets

he Center recognizes loss allowances for Expected Credit Losses (ECL) on receivables that are not neasured at FVTPL.

he Center always recognises ECL for receivables. The expected credit losses on these financial assets are stimated using a provision matrix based on the Center's historical credit loss experience, adjusted for actors that are specific to the debtors, general economic conditions and an assessment of both the current s well as the forecast direction of conditions at the reporting date, including time value of money where ppropriate.

robability of default (PD)

D constitutes a key input in measuring ECL. PD is an estimate of the likelihood of default over a given me horizon, the calculation of which includes historical data, assumptions and expectations of future onditions.

oss Given Default (LGD)

GD is an estimate of the loss arising on default. It is based on the difference between the contractual cash lows due and those that the lender would expect to receive, taking into account cash flows from collateral nd integral credit enhancements.

e) Offsetting financial instruments

inancial assets and financial liabilities are offset and the net amount reported in the consolidated statement f financial position when there is a legally enforceable right to offset the recognised amounts and there is n intention to settle on a net basis or realise the asset and settle the liability simultaneously. The legally nforceable right must not be contingent on future events and must be enforceable in the normal course of usiness and in the event of default, insolvency or bankruptcy of the Center or the counterparty.

.8 Equipment

quipment is stated at historical cost less accumulated depreciation. Historical cost includes expenditure iat is directly attributable to bringing the asset to the location and condition necessary for it to be capable f operating in the manner intended by management.

Notes to the financial statements
or the year ended 31 December 2021 (continued)

Summary of significant accounting policies (continued)

.8 Equipment (continued)

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Center and the cost of the item can be measured reliably. All other repairs and maintenance expenses are charged to statement of profit or loss and other comprehensive income during the financial period in which they are incurred.

Depreciation is calculated using the straight-line method to allocate the assets' cost to their residual values over their estimated useful lives.

The impact of the changes in accounting estimates is disclosed in Note 4.

Plant & machinery	4 – 10 years
Furniture and fixtures	5 years
Buildings	20 years

The assets' residual values, useful lives and depreciation methods are reviewed, and adjusted prospectively if appropriate, if there is an indication of a significant change since the last reporting date.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Gains and losses on disposals are determined by comparing the proceeds with the carrying amount and are recognised in the statement of profit or loss and other comprehensive income.

.9 Intangible assets

Intangible assets are stated at historical cost less accumulated amortization and any impairment losses. Amortization is provided over the estimated useful life of four years using the straightline method

.10 Other payables

Other payables are obligations to pay for goods or service that have been acquired in the ordinary course of business from suppliers. Other payables are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities.

.11 Employees' benefits

A provision is made for the estimated liability for employees' entitlement to annual leave and leave passage as a result of services rendered by the employees up to the reporting date.

Provision is made for the estimated liability for employees' entitlement to annual leave and leave passage as a result of services rendered by eligible employees up to the reporting date.

Provision is made for estimated liability for the employees' benefit which is calculated annually using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash flows using interest rates of high-quality corporate bonds that are denominated in the currency in which the benefits will be paid.

Summary of significant accounting policies (continued)

.11 Employees' benefits (continued)

Pension contributions are made in respect of UAE national employees to the Abu Dhabi Retirement and Pension Benefits Fund, calculated in accordance with Government regulations. Such contributions are charged to the statement of comprehensive income during the employees' period of service.

The provision relating to annual leave, leave passage and pension contribution is considered as a current liability, while that relating to end of service benefits is disclosed as a non-current liability.

.12 Revenue recognition

Revenue is recognised as follows:

Contributions are recognised where there is reasonable assurance that the contribution will be received and all attached conditions will be complied with.

When the contribution relates to an expense item, it is recognised as income over the period necessary to match the contribution on a systematic basis to the costs that it is intended to compensate. To the extent that the contribution is not matched to expenditure in the year, it is recognised as deferred income.

Where the contribution relates to an asset, it is recognised as deferred income and released to income in equal amounts over the expected useful life of the related asset.

Critical accounting judgments and key sources of estimation uncertainty

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

The resulting accounting estimates will, by definition, seldom equal the related actual results.

The Center's management makes estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year. Estimates and judgments are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

a) Useful lives of equipment and intangible assets

The Center's management determines the estimated useful lives of its equipment and intangible assets for calculating depreciation and amortization. This estimate is determined after considering the expected usage of the asset and physical wear and tear. Management reviews the residual value and useful lives annually and future depreciation and amortization charges would be adjusted where the management believes the useful lives differ from previous estimates.

Notes to the financial statements
for the year ended 31 December 2021 (continued)

Equipment

	Furniture & fixtures AED	Plant & machinery AED	Building AED	Total AED
Cost				
At 1 January 2020	112,725	6,014,184	7,277,144	13,404,053
Additions	-	105,217	-	105,217
At 1 January 2021	112,725	6,119,401	7,277,144	13,509,270
Additions	-	64,020	-	64,020
At 31 December 2021	**112,725**	**6,183,421**	**7,277,144**	**13,573,290**
Accumulated depreciation				
At 1 January 2020	73,321	3,762,794	1,086,675	4,922,790
Charge for the year	22,237	1,058,153	364,263	1,444,653
At 1 January 2021	95,558	4,820,947	1,450,938	6,367,443
Charge for the year	13,416	809,603	364,262	1,187,281
At 31 December 2021	**108,974**	**5,630,550**	**1,815,200**	**7,554,724**
Carrying amount				
At 31 December 2021	**3,751**	**552,871**	**5,461,944**	**6,018,566**
At 31 December 2020	17,167	1,298,454	5,826,206	7,141,827

otes to the financial statements
r the year ended 31 December 2021 (continued)

Intangible assets

	AED
Cost	
At 31 December 2020 and 2021	436,987
Accumulated Amortization	
At 1 January 2020	294,179
Charge for the year	84,105
At 1 January 2021	378,284
Charge for the year	58,703
At 31 December 2021	**436,987**
At 31 December 2021	-
At 31 December 2020	58,703

Other receivables

	2021 AED	2020 AED
repayments	**556,958**	513,399
thers	**32,511**	40,411
	589,469	553,810

Cash and bank balances

	2021 AED	2020 AED
ash at bank	**1,199,889**	2,700,696

lances with banks are assessed to have low credit risk of default since these banks are highly regulated the central banks of the respective countries. Accordingly, management of the Center estimates the loss owance on balances with banks at the end of the reporting period at an amount equal to 12 month ECL. ne of the balances with banks at the end of the reporting period are past due, and taking into account the torical default experience and the current credit ratings of the bank, management have assessed that re is no impairment, and hence have not recorded any loss allowances on these balances.

otes to the financial statements
r the year ended 31 December 2021 (continued)

Related parties

elated parties represent associated companies, directors and key management personnel of the Center, and tities controlled, jointly controlled or significantly influenced by such parties and other organizations hich are part of the Government of Abu Dhabi including Aerospace Holding Company LLC and Khalifa niversity of Science and Technology. Pricing policies and terms of these transactions are approved by the enter's management.

Statement of financial position

e following are balances included in statement of financial position arising from transactions with related rties at terms agreed by management:

	2021 AED	2020 AED
ue to related parties:		
erospace Holding Company	**408,333**	408,333
halifa University of Science and Technology	-	108,295
	408,333	516,628

Statement of in the statement of profit or loss and other comprehensive income

e following transactions were carried out with related parties at terms agreed by management:

	2021 AED	2020 AED
ntributions received during the year:		
rospace Holding Company LLC	**952,381**	952,381
alifa University of Science and Technology	-	2,400,000
	952,381	3,352,381

ff cost includes expenses paid to seconded employees from Khalifa University of Science and chnology and Aerospace Holding Company LLC as follows:

	2021 AED	2020 AED
alifa University of Science and Technology	**246,460**	784,569
rospace Holding Company LLC	**350,000**	320,833
	596,460	1,105,402
her costs charged by related parties:		
alifa University of Science and Technology	**22,660**	133,084
her costs charged to related parties:		
alifa University of Science and Technology	-	807,374

otes to the financial statements
r the year ended 31 December 2021 (continued)

Provision for employees' end of service benefits

	2021 AED	2020 AED
t 1 January	**166,556**	141,004
harge for the year (Note 14)	**63,996**	25,552
aid during the year	**(121,080)**	-
t 31 December	**109,472**	166,556

Other payables

	2021 AED	2020 AED
ccrued expenses	**100,721**	124,847
ther payables	**91,650**	82,229
	192,371	207,076

Net assets attributable to center

ontribution from AHC and KUST, in the statement of statement of profit or loss and other comprehensive come, represents the portion of the grants received or receivable that has been recognized in the statement statement of profit or loss and other comprehensive income to cover the Center's operating expenses, preciation and amortization of equipment and intangible assets respectively, in accordance with the nter's policy for recognition of contribution revenue.

ferred grants represent the portion of grants received by the Center and recognize to purchase, construct otherwise acquire non-current assets and will be amortised to the statement of profit or loss and other mprehensive income on a systematic and rational basis over the useful lives of the related assets.

ovement in net assets is set out below:

	Assets AED	Operations AED	Total AED
1 January 2020	8,624,071	1,622,864	10,246,935
ontribution received	-	3,352,381	3,352,381
ansfer from deferred operating contributions	105,217	(105,217)	-
ant recognized as revenue in the statement of rofit or loss and other comprehensive income	(1,528,758)	(2,505,782)	(4,034,540)
31 December 2020	7,200,530	2,364,246	9,564,776

otes to the financial statements
r the year ended 31 December 2021 (continued)

! Net assets attributable to center (continued)

	Assets AED	Operations AED	Total AED
t 1 January 2021	7,200,530	2,364,246	9,564,776
ontributions received	-	952,381	952,381
ransfer from deferred operating contributions	64,020	(64,020)	-
rant recognized as revenue in the statement of profit or loss and other comprehensive income	(1,245,984)	(2,173,425)	(3,419,409)
t 31 December 2021	**6,018,566**	**1,079,182**	**7,097,748**

s per the second phase of the collaboration agreement, AHC and KUST shall provide funding of AED 400,000 to the Center over the period of second phase. The amount for the first phase was AED ',600,000. KUST will also provide in-kind technical and managerial human resources and expertise to e Center for an amount of AED 600,000 over the second phase. The amount of in-kind contribution from UST for the first phase was AED 6,000,000. Any funds or resources (including cash, in-kind and know-w) allocated to the Center that remain unused at the end of any financial reporting period shall be tomatically rolled over to the following period.

General and administrative expenses

	2021 AED	2020 AED
aff cost (Note 14)	**1,672,847**	1,835,176
ab supplies	**431,384**	483,347
rofessional fees	**50,450**	76,962
ther	**18,744**	110,297
	2,173,425	2,505,782

Staff costs

	2021 AED	2020 AED
laries and wages	**977,772**	1,110,359
d of service benefits (Note 10)	**63,996**	25,552
d of service charged by a related party	**9,242**	335
ther benefits	**621,837**	698,930
	1,672,847	1,835,176

; **Financial instruments**

ıe accounting policies for financial instruments have been applied to the line items below:

	2021 AED	2020 AED
inancial assets:		
ash and bank balances (Note 8)	**1,199,889**	2,700,696
ther receivables excluding prepayments (Note 7)	**32,511**	40,411
	1,232,400	2,741,107
inancial liabilities:		
ue to related parties (Note 9)	**408,333**	516,628
ther payables (Note 11)	**192,371**	207,076
	600,704	723,704

ıancial risk management

ıancial risk factors

e Center's activities expose it to a variety of financial risks: market risk (including foreign currency change risk, price risk and cash flow and fair value interest rate risks), credit risk and liquidity risk. The nter's overall risk management process seeks to minimise potential adverse effects of these risks on the nter's in the statement of profit or loss and other comprehensive income.

arket risk

Foreign currency exchange risk

reign exchange risk is limited as the Center's transactions are principally in UAE Dirhams and US llars. The stability of the rate of exchange between the two currencies mitigates this risk.

Price risk

e Center has no significant exposure to commodity or equity price risk.

Cash flow and fair value interest rate risks

the Center has no significant interest-bearing assets or liabilities, the Center's income and operating h flows are substantially independent of changes in market interest rates.

otes to the financial statements
r the year ended 31 December 2021 (continued)

; **Financial instruments (continued)**

redit risk

edit risk arises from cash and cash equivalents, deposits with banks and financial institutions, as well as edit exposures to customers, including outstanding receivables and committed transactions. Individual k limits are based on management's assessment on a case-by-case basis. The utilisation of credit limits regularly monitored.

quidity risk

udent liquidity risk management implies maintaining sufficient cash and cash equivalents and the ailability of adequate funding. Due to the nature of the Center's business and support from the areholders, liquidity risk is not deemed to be significant.

e table below summarises the maturity profile of the Center's financial liabilities as at 31 December 21 and 2020 based on contractual undiscounted payments and current market rates:

	Less than 1 year AED
December 2021	
e to related parties (Note 9)	**408,333**
her payables (Note 11)	**192,371**
	600,704
December 2020	
e to related parties (Note 9)	516,628
her payables (Note 11)	207,076
	723,704

r value estimation

carrying value of financial assets and liabilities of the Center approximates their fair value.

otes to the financial statements
r the year ended 31 December 2021 (continued)

Financial instruments (continued)

isk management

e Center's policy is to place cash and cash equivalents with reputable banks and financial institutions.

e Center trades only with recognized, creditworthy third parties. Receivable balances are monitored on ongoing basis with the result that the Center's exposure to bad debts is not significant. Credit risks nited to the carrying values of financial assets in the statement of financial position.

pairment of financial assets

hile cash and cash equivalents are subject to the impairment requirements of IFRS 9, the identified pairment loss was immaterial.

Approval of financial statements

e financial statements were approved by management and authorised for issue on 16 November 2022.